Session 6: Financial Instruments II: Recognition and Measurement (IFRS9)

By the end of this session you must know when a financial asset or liability is recognised under IFRS9, how the four measurement categories for financial assets work (amortised cost, FVOCI for debt, FVOCI for equity, FVPL), how initial and subsequent measurement differ, how the effective interest method computes amortised cost, and how financial liabilities are subsequently measured.

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1. IFRS9 vs. IAS39, and the Scope of IFRS9

- IFRS9 and IAS39 both establish principles for recognising and measuring financial assets and financial liabilities. IFRS9 replaced IAS39 as from 1 January 2018 (earlier application was permitted).
- IFRS9's stated objective is to establish principles, though in practice, given the level of prescriptive detail, it arguably establishes rules rather than principles.
- It is a very complex standard that applies to all entities and to all types of financial instruments, subject to eleven scope exceptions.
- It also applies to contracts to buy or sell a non-financial item that can be settled net in cash "as if" they were financial instruments, when those contracts are not entered into and held for the purpose of the entity's own expected purchase, sale or usage requirements.

2. Recognition of Financial Assets and Liabilities

Recognition rule (IFRS9): a financial asset or financial liability is recognised only when the entity "becomes party to the contractual provisions of the instrument." Recognition therefore occurs when the contractual arrangement becomes binding, not when cash actually changes hands.

- This is the same recognition trigger used for compound instruments in Session 5. The contract, not the cash flow, is what puts the item on the statement of financial position.

3. Initial Measurement

- Financial assets and financial liabilities are recognised initially at their **fair value**.
- For an asset, this is equal to the value of the consideration given when the asset was acquired. For a liability, it is the value of the consideration received when the liability was incurred.
- What happens after initial recognition (subsequent measurement) depends on which category the asset or liability falls into. Covered in Sections 4-7 below.

4. The Four Measurement Categories for Financial Assets

IFRS9 sorts every financial asset into one of four measurement categories:

Must know:
• Debt instruments at **amortised cost**
• Debt instruments at **fair value through OCI (FVOCI)**, with cumulative gains/losses reclassified to profit or loss on derecognition
• Equity instruments **designated** as measured at FVOCI, with gains/losses remaining in OCI permanently (no reclassification to profit or loss, ever)
• Debt instruments, derivatives and equity instruments at **fair value through profit or loss (FVPL)**: the default/residual category

- A shorter three-way version of this classification is also used in the source material for the "normal" case, before the debt/equity split of the FVOCI category is made explicit: financial assets at amortised cost. Financial assets at FVOCI. Financial assets at FVPL.
- The four-category version above is the fuller picture and the one to use when a question distinguishes debt from equity instruments.

5. Subsequent Measurement of Financial Assets

- After initial recognition, a financial asset is measured at amortised cost, using the effective interest method, if and only if **both** of the following hold:
  - the contractual terms of the asset give rise, on specified dates, to cash flows that are solely payments of principal and interest, and
  - the entity's sole objective in holding the asset is to hold it to maturity and collect those contractual cash flows.
- All other financial assets are measured at fair value: through profit or loss (FVPL) for assets held for trading, or through OCI (FVOCI) for assets classified as available-for-sale (AFS) in substance.

Trade receivables may be measured at the original invoice amount, rather than by discounting, when the effect of discounting is not material.

6. The Effective Interest Method and Amortised Cost

Amortised cost of a financial asset: the amount at which the asset was initially recognised, plus interest earned to date, minus any repayments received to date.

Effective interest method: calculates the interest earned to date using the interest rate that exactly discounts estimated future cash receipts to the initial carrying amount of the asset. The calculation folds in not only stated interest receivable, but also items such as premiums and discounts on the instrument.

Amortised cost = Initial carrying amount + Interest earned to date (at the effective rate) − Repayments received to date

where: - the effective interest rate is fixed at initial recognition and is the rate that equates the present value of the instrument's estimated future cash flows to its initial carrying amount. - reading it as a calculation: fix the effective rate at initial recognition, apply it each period to the opening carrying amount to get interest earned, add that to the balance, then subtract any cash actually received. The running total is the asset's amortised cost.

- Understanding the mechanics of the statement of comprehensive income helps place where amortised-cost interest income, and FVOCI/FVPL gains and losses, ultimately land: profit or loss flows into retained earnings on the balance sheet, other comprehensive income (OCI) flows into accumulated OCI on the balance sheet, and the two together form total comprehensive income for the period.

7. Subsequent Measurement of Financial Liabilities

- Most financial liabilities are measured at amortised cost using the effective interest method. The mirror image of the amortised-cost asset case: the amortised cost of a liability equals the amount received when it was initially incurred, plus interest accrued to date, minus any repayments made to date.
- Financial liabilities held for trading, however, are measured at fair value, with gains or losses usually recognised in profit or loss for the period in which they arise.

Trade payables may likewise be measured at the original invoice amount if the effect of discounting is not material.

Example: a company issues an €1,000,000 eight-year zero-coupon bond priced to yield 10% at maturity. At the issue date the bond is recognised at its issue proceeds (the present value of €1,000,000 discounted at 10% for eight years). At each subsequent year-end, the carrying amount increases by the interest accrued at the effective rate of 10% on the opening balance (no cash interest is paid, since it is a zero-coupon bond), so the liability accretes toward €1,000,000 by maturity.

8. Common Mistakes and Exam Traps

- Applying amortised cost to an asset that fails either leg of the two-part test in Section 5. Both the “solely payments of principal and interest” cash-flow test and the “hold to collect” business-model test must hold. Failing either one forces fair-value measurement.
- Confusing debt-FVOCI (gains/losses eventually reclassified to profit or loss on derecognition) with equity-FVOCI (gains/losses never reclassified, they stay in OCI permanently). The recycling rule differs by instrument type, not just by the FVOCI label.
- Forgetting that initial measurement is always fair value for both assets and liabilities, even when subsequent measurement will be amortised cost. The amortised-cost carrying amount evolves from an initial fair value, not from cost in the everyday sense.
- Mixing up the effective interest rate with the coupon/stated rate. The effective rate is calibrated to the instrument’s actual issue price and cash-flow schedule (as in the zero-coupon bond example, where the stated coupon is 0% but the effective rate is 10%).
- Treating “held for trading” liabilities the same as ordinary liabilities. Trading liabilities are the fair-value exception to the amortised-cost default for liabilities.

9. Must Know Absolutely

Must know:
• Recognition trigger: becomes party to the contract’s provisions (not cash exchange)
• Initial measurement: always fair value, for both assets and liabilities
• Four asset categories: amortised cost, debt, FVOCI (recycles to P&L), equity, FVOCI (never recycles), FVPL (default)
• Amortised-cost test for assets: SPPI cash-flow test **and** hold-to-collect business model, both required
• Amortised cost = initial amount + interest earned at the effective rate − repayments
• Liabilities: amortised cost by default (effective interest method). Fair value if held for trading
• Trade receivables/payables: original invoice amount is an acceptable proxy when discounting is immaterial